

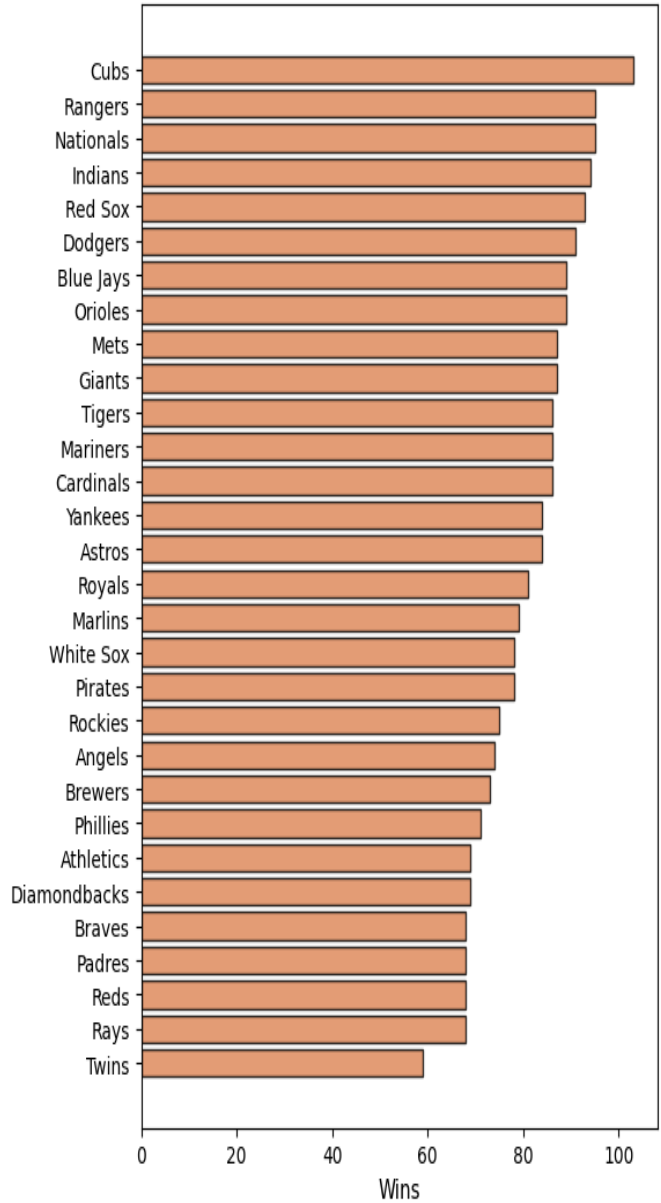
Do wins or market size drive MLB teams TV revenue?

By Tyler Good

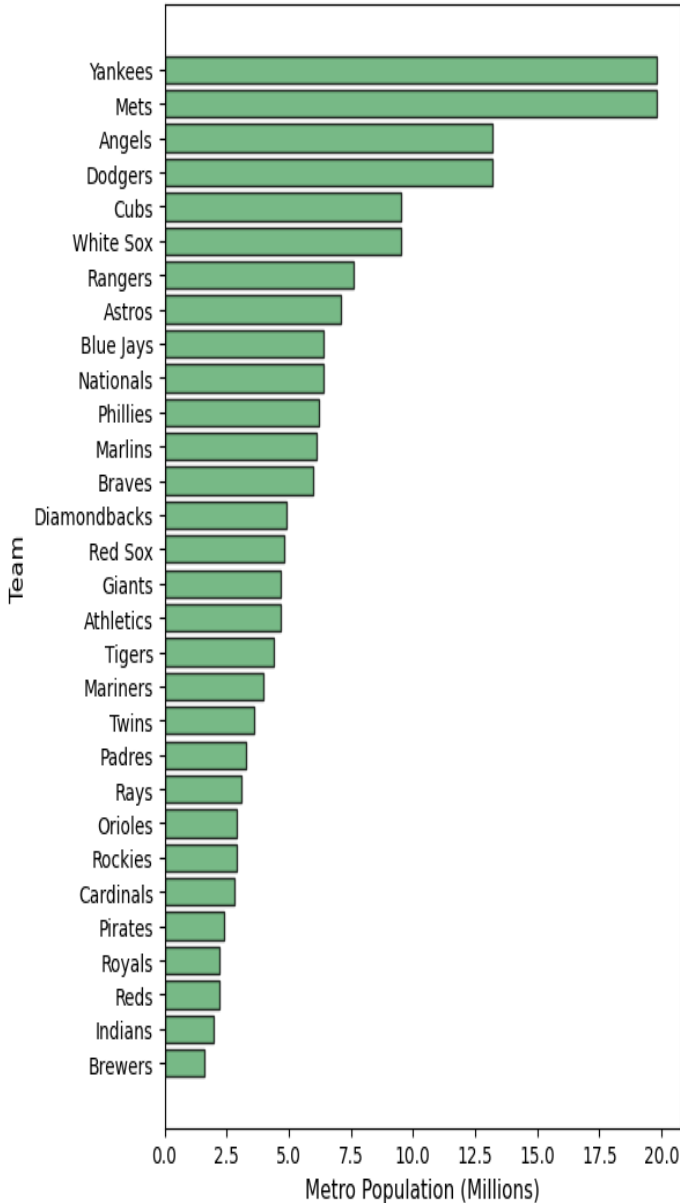
Wins Vs Market Size as a Predictor of MLB TV Revenue

Data Summary: MLB 2016

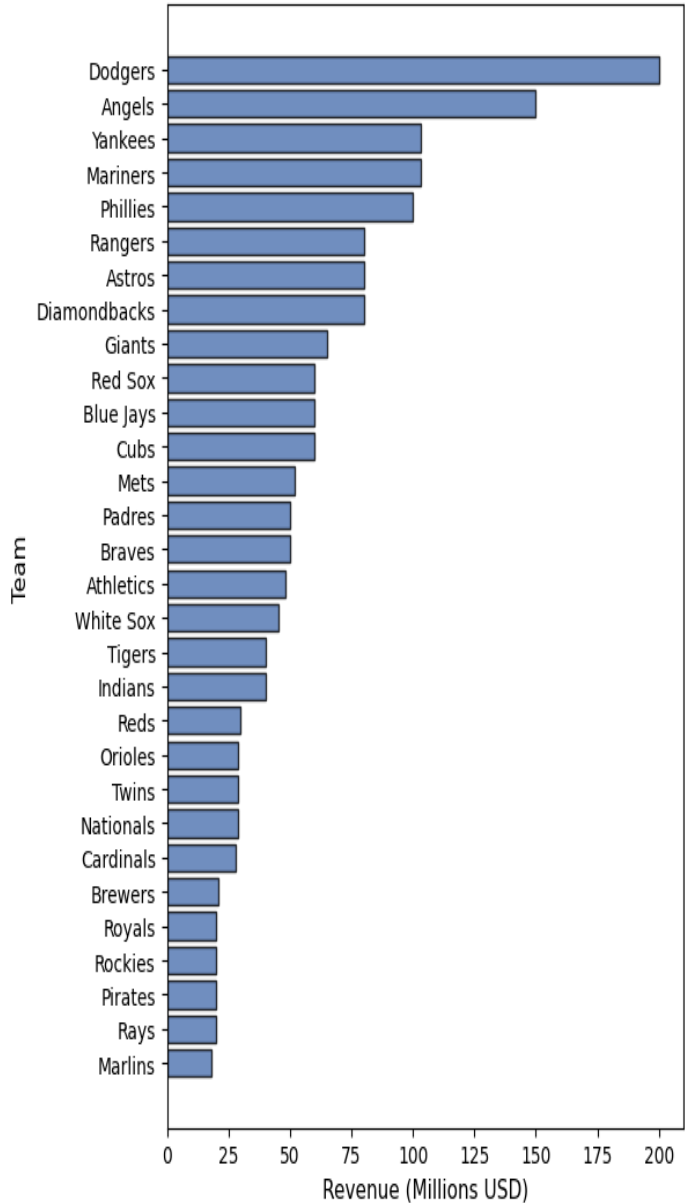
Wins by Team (2016)



Market Size by Team (2016)



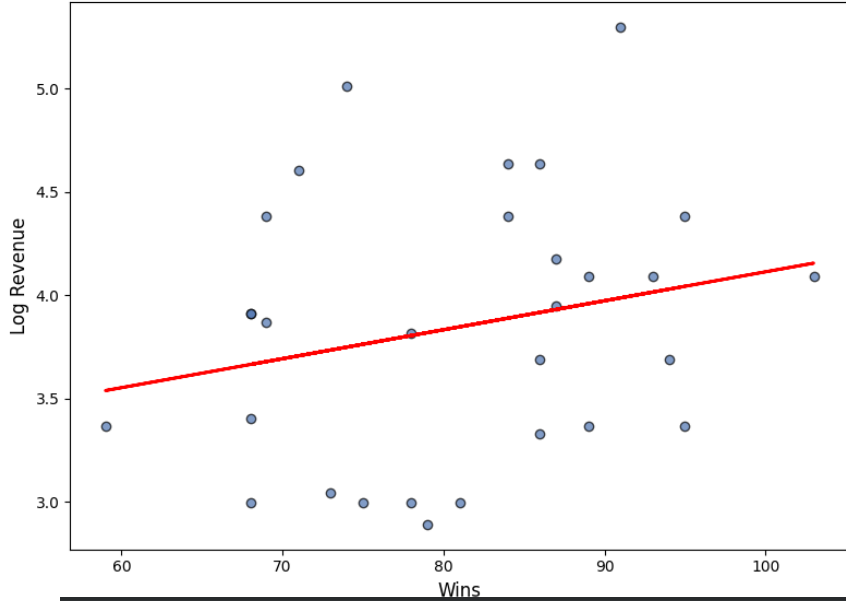
TV Revenue by Team (2016)



- Cubs won most games in 2016 yet are not even close to top of tv revenue
- Dodgers have most revenue by a large margin and a large metro pop

Model 1 $\text{LogRevenue} = 2.712 + 0.014 \times \text{Wins}$

Model 1: Log Revenue vs Wins

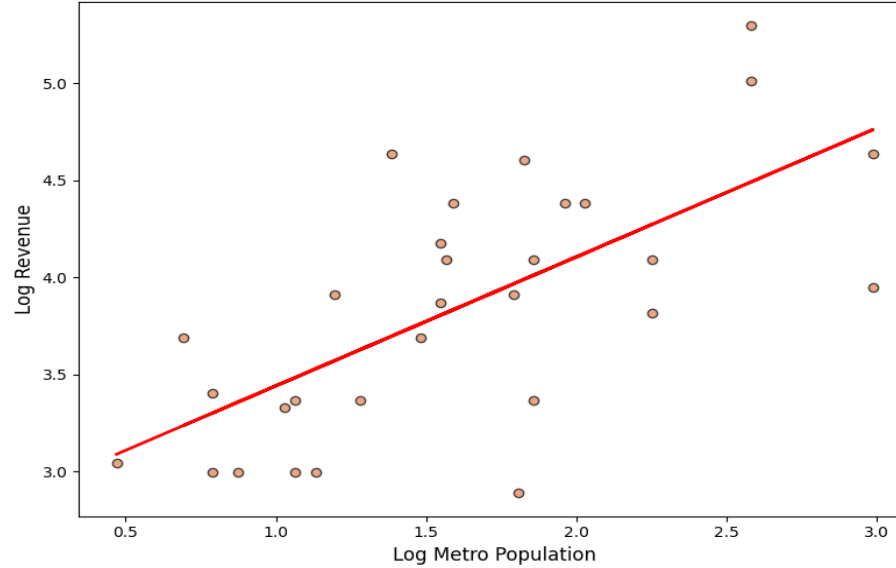


Model 1 $R^2 = 0.054$

	coef	std err	t	P> t	[0.025	0.975]
Intercept	2.7117	0.908	2.985	0.006	0.851	4.572
Wins	0.0140	0.011	1.259	0.218	-0.009	0.037

Model 2 $\text{LogRevenue} = 2.777 + 0.665 \times \text{LogMetroPop}$

Model 2: Log Revenue vs Market Size



Model 2 $R^2 = 0.459$

	coef	std err	t	P> t	[0.025	0.975]
Intercept	2.7770	0.237	11.737	0.000	2.292	3.262
LogMetroPop	0.6645	0.136	4.871	0.000	0.385	0.944

Model 3 $\text{LogRevenue} = 2.593 + 0.003 \times \text{Wins} + 0.653 \times \text{LogMetroPop}$

Model 3 $R^2 = 0.46$

	coef	std err	t	P> t	[0.025	0.975]
Intercept	2.5930	0.699	3.709	0.001	1.159	4.027
Wins	0.0025	0.009	0.280	0.781	-0.016	0.021
LogMetroPop	0.6529	0.145	4.510	0.000	0.356	0.950

- Market size explains 45.9% of MLB team revenue compared to just 5.4% for wins
- Where a team plays matters much more than performance